EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Claveria, Cagayan was created by virtue of Royal Decree of Spain on June 5, 1865. It is a third-class municipality situated on the northwestern coast of the Province of Cagayan.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Claveria for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Claveria, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	433,406,399.36	482,009,278.23	(48,602,878.87)
Liabilities	62,449,795.56	71,916,991.88	(9,467,196.32)
Government Equity	370,956,603.80	410,092,286.35	(39,135,682.55)
Financial Performance			
Income	185,219,939.58	210,745,608.75	(25,525,669.17)
Expense	162,583,449.60	150,278,761.84	12,304,687.76
Net Income	22,636,489.98	60,466,846.91	(37,830,356.93)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Installation of Slope Protection	4,367,148.61
Restoration/ Reconstruction of Sta. Maria Sunken Road	4,384,476.06
Construction of Slope Protection (Retaining Wall)	1,897,052.27
Total	**10,648,676.94**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Claveria, Cagayan for the year ended December 31, 2023 since the correctness and validity of the Property, Plant and Equipment account valued at ₱233,369,535.42 (net of depreciation) could not be ascertained due to non-conduct of physical inventory of PPE and non-submission of Report on Physical Count of PPE.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Teams significant audit observations and recommendations:

1. The Depreciation expense was not provided for Infrastructure Asset accounts, with a total carrying value of P112,338,556.34, as at December 31, 2023, contrary to International Public Sector Accounting Standard 17 (IPSAS 17) and Item IV of COA Circular No. 2015-008 dated November 23, 2015, thus, affecting the fair presentation of the account in the financial statements.

   We recommended that the Management direct the Municipal Accountant to compute the depreciation expense, prepare the lapsing schedule and draw the necessary journal entry to take up depreciation expense for the current year, update the related accumulated depreciation and record adjustment in government equity account for unrecorded prior years' depreciation expense to present fairly the financial statements in accordance with IPSAS 17 and pertinent provisions of Item IV of COA Circular No.2015-008 dated November 23, 2015.

2. Twenty-four (24) programs, projects, and activities (PPAs) under the 20% Development Fund (DF) totaling to P65.703 million were not fully implemented as at December 31, 2023, contrary to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

We also recommended that the Municipal Planning and Development Officer monitor regularly the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

3. Procurement of farm inputs totaling to P9.616 million was directly recorded as "Agricultural Supply Expense" upon payment, contrary to Section 114 of Volume 1 of NGAS for LGUs, thus, eliminating the proper accounting of the receipt, monitoring of the distribution, and year-end inventory of the agricultural supplies, which resulted to the understatement of the Agricultural and Marine Supplies Inventory Account and overstatement of the related expense account as at year end.

   We recommended the following:

   - The Management to submit the Acknowledgement Receipts duly signed by the farmer beneficiaries, indicating the quantity and specific agricultural supplies received by them;

   - The Management to account for the remaining undistributed farm inputs and require the supplier to deliver the farm inputs to the Municipality, and assume the responsibility of distributing the farm inputs to the farmers; and

   - The Municipal Accountant to properly record the purchases of supplies and materials in accordance with the perpetual inventory method as prescribed in Section 114 of Volume 1 of NGAS for LGUs and effect the necessary correcting journal entries.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	
Total	-	-	-	-	-
Charges					

Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2022 Annual Audit Report, six (6) were partially implemented and two (2) were not implemented.